Leasing/Capital Costs

Tenant improvements and lease-related costs pertaining to our initial leasing of newly completed space, or vacant space in acquired properties, are referred to as first generation expenditures. Such first generation expenditures for tenant improvements are included within "development of real estate investments" in our Consolidated Statements of Cash Flows, while such expenditures for lease-related costs are included within "other deferred leasing costs."

Cash expenditures related to the construction of a building's shell, as well as the associated site improvements, are also included within "development of real estate investments" in our Consolidated Statements of Cash Flows.

Tenant improvements and leasing costs to re-let rental space that we previously leased to tenants are referred to as second generation expenditures. Building improvements that are not specific to any tenant but serve to improve integral components of our real estate properties are also second generation expenditures.

One of our principal uses of our liquidity is to fund the second generation leasing/capital expenditures of our real estate investments. The following table summarizes our second generation capital expenditures by type of expenditure (in thousands):

	2013	2012	2011
Second generation tenant improvements	**$ 39,892**	$ 26,643	$ 50,079
Second generation leasing costs	**38,617**	31,059	38,130
Building improvements	**13,289**	6,182	11,055
Total second generation capital expenditures	**$ 91,798**	$ 63,884	$ 99,264
Development of real estate investments	**$ 427,355**	$ 264,755	$ 162,070
Other deferred leasing costs	**$ 35,376**	$ 27,772	$ 26,311

Second generation tenant improvements and leasing costs increased due to a shift in industrial leasing volume from renewal leases to second generation leases (see data in the Key Performance Indicators section of Management's Discussion and Analysis of Financial Condition and Results of Operations), which are generally more capital intensive. Additionally, although the overall renewal volume was lower, renewals for office leases, which are generally more capital intensive than industrial leases, increased from 2012.

During 2013, we increased our investment across all product types in non-tenant specific building improvements.

The increase in capital expenditures for the development of real estate investments was the result of our increased focus on wholly owned development projects. We had wholly owned properties under development with an expected cost of $572.6 million at December 31, 2013, compared to projects with an expected cost of $468.8 million and $124.2 million at December 31, 2012 and 2011, respectively. Cash outflows for real estate development investments were $427.4 million, $264.8 million and $162.1 million for December 31, 2013, 2012 and 2011, respectively.

We capitalized $31.3 million, $30.4 million and $25.3 million of overhead costs related to leasing activities, including both first and second generation leases, during the years ended December 31, 2013, 2012 and 2011, respectively. We capitalized $27.1 million, $20.0 million and $10.4 million of overhead costs related to development activities, including construction, development and tenant improvement projects on first and second generation space, during the years ended December 31, 2013, 2012 and 2011, respectively. Combined overhead costs capitalized to leasing and development totaled 35.7%, 31.1% and 20.6% of our overall pool of overhead costs at December 31, 2013, 2012 and 2011, respectively. Further discussion of the capitalization of overhead costs can be found herein, in the discussion of general and administrative expenses in the comparison sections of Management's Discussion and Analysis of Financial Condition and Results of Operations.